

They do care ... about the money

A PUBLIC COMPANY ONLY CARES ABOUT ONE THING, GIVING ITS INVESTORS THE BEST RETURNS POSSIBLE.

You could even say that they're mandated by law to abide by this mission to make more money for their investors. Long-term customers and loyal fan-bases be damned if there's more money to be made elsewhere. The company will continue to whisper sweet nothings into your ear to make you believe that you, the customer, are the apple of their eye all the while sticking a knife in your back. And honestly, can you blame them? Investors have literally given the company money way in advance whereas customers would rather wait to see if the product is good before paying the company. If you were given the choice between the two, which one would you go for?

I'm not being an apologist here, I'm merely stating the facts. What I do have a problem with is the doublespeak. There's a deliberate attempt to obscure and contort the meaning of statements but there's no lie. When companies state that they're doing something because they care about you, then they're truthful, to an extent.

Take NVIDIA for example. They make great graphics cards and the recent RTX 30-series has turned out quite well. Despite the global shortage of silicon chips, you can still find all the RTX 30-series graphics cards in the market. Albeit you'll have to shell out twice the MRP to get the cards. The global shortage has many reasons behind it, the US-China tradewars caused a lot of companies to stockpile silicon supplies in advance. There have also been instances of severe flooding around fabs in China leading to more supply issues. And the most impactful factor has been Covid-19. The pandemic had slowed down or even completely halted production leading to supply issues. And right as the shortage was expected to ease up, we saw the second Crypto boom. (Our cover story this month goes into depth into the Crypto boom.)

So NVIDIA saw an opportunity this year to mint money from the Crypto boom. But it had to be careful this year. Back in 2018 when the first Crypto boom occurred, NVIDIA had grossly overestimated the mining demand and was left with a huge

surplus of unsold GPU inventory. One particular OEM even returned 300,000 GPUs back to NVIDIA after the demand dried up. So what does NVIDIA do this year? It comes out with a new line-up of products dedicated for mining – NVIDIA CMP HX.

Let's take a look at the problems NVIDIA faced last time. A lot of the cards were failing due to the excessive high-temperature and high-workload environments. This was remedied by refusing warranty coverage for cards that were used in mining operations. Then once the crypto boom was over, a lot of the cards entered the second-hand market which reduced sales of new cards for all partners. The RTX 20-series were a tough sell since cheap GTX 10-series cards were still easily purchasable and readily available.

Having a new lineup separate from the GeForce gaming GPUs helps to eliminate the second hand excess inventory issue. The CMP HX cards will not have any display connectors making them absolutely useless for gamers. There is no excess inventory problem because of the silicon shortage. To ensure sales of the CMP HX cards, NVIDIA has limited the hash rates on GeForce cards by 50% via a software block. Nobody expects the block to last for long. So when the CMP HX cards run out, the miners can use GeForce cards. This move essentially reduces GeForce availability since the CMP HX cards are actually using the same GPUs and probably would have otherwise ended up in RTX 3080s / 3070s or even lower-end cards. We say "probably" because there's a good likelihood that the GPUs have defective RT or Tensor-Cores or dysfunctional ROPs making them useless for gaming. But the remaining parts of the GPU could very well be used for mining. The thing is, there is no way of telling whether good GPUs are being put in CMP cards purely because they're guaranteed to sell out far quicker than GeForce cards. At the end of the day, NVIDIA makes more money and does it quicker. Gamers will continue to suffer because of the silicon shortage.

I don't see any problems with what NVIDIA is doing. My only issue is them claiming to care about gamers because that's a half-truth which anyone can see through. Where do you stand on the issue? **d**



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